

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

SM LINE CORPORATION, *Respondent*.

DOCKET NO. 23-01

Served: September 23, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER GRANTING COMPLAINANT’S MOTION REQUESTING THE PRESIDING OFFICER ISSUE A SUBPOENA AFTER THE DISCOVERY CUTOFF

On November 18, 2023, Complainant Samsung Electronics America, Inc. (“SEA”) filed an application requesting issuance of a Letter of Request to allow SEA to take the deposition of Yoon-Jai (“Mark”) Lee, a former employee of Respondent SM Line Corporation, pursuant to the Hague Convention on the Taking of Evidence Abroad in Civil or Commercial Matters. On November 21, 2023, I granted SEA’s request and issued the Letter of Request pursuant to the Hague Convention. On July 26, 2024, after the parties had submitted their briefs, the Seoul Central District Court issued a notification setting September 10, 2024 as the date of Mr. Lee’s examination. According to counsel for SEA, the Seoul Central District Court was unable to effectuate service of the notice of examination on Mr. Lee and advised that it will issue a “certification of failure to investigate due to service failure.” Mot. Requesting the Presiding Officer Issue a Subpoena After the Discovery Cutoff, Decl. of Christopher Nolan, ¶¶ 7-10 and Ex. 1.

On September 12, 2024, SEA filed a Motion Requesting the Presiding Officer Issue a Subpoena After the Discovery Cutoff (“Motion for Subpoena”). The Motion for Subpoena attaches the proposed subpoena, which lists topics for examination identical to the Hague Convention Letter of Request issued in November 2023. See Mot. for Subpoena, App. 1. SEA explains that, after the Seoul Central District Court set the time and place for Mr. Lee’s examination, SEA learned through the maritime trade press that Mr. Lee was leaving his employer in Korea, OEC Group (Seoul), and taking on a new role at SeaLead Shipping Pte Ltd. as the company’s Managing Director USA. The examination pursuant to the Seoul Central District Court’s notice did not proceed, and counsel for SEA believes that Mr. Lee now resides in the United States, in the vicinity of SeaLead’s offices in California. SEA counsel sent a letter to Mr. Lee at his SeaLead office, but did not receive a response. See Mot. for Subpoena, p. 3 and Exs. 2 and 3. SEA counsel represents counsel for SM Line stated he was not in a position to agree to the Motion for Subpoena, however, SM Line has not filed an opposition.

In deciding whether to issue the proposed subpoena to Mr. Lee, the competing interests are the need for prompt resolution of disputes and, on the other hand, the responsibility of the Commission to inquire into and consider all relevant facts. In the context of a petition to reopen a proceeding in which the presiding officer had already issued an initial decision, the Commission granted the petition, noting that agencies have broad discretion in deciding whether to reopen a proceeding, and that Commission precedent “favors the agency making its decision based on the most complete record available.” *Anderson International Transport and Owen Anderson – Possible Violations of Sections 8(a) and 10 of the Shipping Act of 1984*, FMC Docket No. 07-02, 2009 WL 6084172, at *2 (F.M.C. Dec. 4, 2009) (citing *Interstate Commerce Commission v. Bhd. of Locomotive Engineers*, 482 U.S. 270, 278-79 (1987) (“overturning the refusal to reopen requires a showing of the clearest abuse of discretion”)). The Commission explained that its policy is that “the evidentiary record be fully developed...before an initial decision is rendered” and that “it is not just the policy, but the responsibility of the Commission and, by delegation of authority, the presiding judge, to inquire into and consider all relevant facts.” *Id.* at 3. (quoting *Hudson Shipping (Hong Kong) Ltd.-Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 1376, 1377 (ALJ 2002)). In *Anderson*, the Commission found reopening was warranted because the evidence the Bureau of Enforcement sought to admit was “relevant and material.” *Id.*

In this proceeding, an initial decision has not yet been issued, so SEA’s request is, essentially, to reopen discovery for a limited purpose rather than to reopen the proceeding as in *Anderson*. And I find that the evidence SEA is seeking is directly relevant and material. During the time period relevant to this proceeding, Mr. Lee was the Senior Vice President/Chief Executive of Sales/Operations at SM Line. In that capacity, based on the testimony of other SM Line employees, he was involved with the preparation of a plan the alleged purpose of which was to use detention and demurrage charges not to incentivize freight fluidity, but to maximize income. See Br. of SEA, pp. 28-30. SM Line disputes this characterization, claiming that Mr. Lee rejected the plan. See Br. of SM Line, p. 13. It is clear that the testimony of Mr. Lee himself would be relevant to the determination of whether SM Line explicitly adopted an internal policy of using detention and demurrage charges as a tool to maximize its profits, without regard to the incentive principle, which is material to SEA’s claim under 46 U.S.C. § 41102(c). Given my responsibility to inquire into and consider all relevant facts, and to create a complete record, I find there is sufficient cause to grant SEA’s motion.

SEA also argues that the delay in obtaining Mr. Lee’s testimony is not the result of any lack of diligence on its part. See Mot. for Subpoena, pp. 5-7. SM Line has not alleged, nor do I see any reason to conclude, that the delay has been the result of any lack of diligence on SEA’s part. But I am mindful of the need to advance this proceeding expeditiously, so I am setting a status conference to inquire as to any further delays encountered in obtaining Mr. Lee’s attendance at his deposition. If, prior to the date of the conference, SEA has served the subpoena and a date has been set for the deposition, the parties may simply file a joint status report to that effect and I will vacate the status conference. The status report should also propose a schedule for any filings necessary to supplement the record.

It is hereby

ORDERED that Complainant's Motion Requesting the Presiding Officer Issue a Subpoena After the Discovery Cutoff is **GRANTED**; it is further

ORDERED that the parties appear via Teams (link will be distributed) for a status conference on **October 14, 2024**, at **3:00 PM EDT** or, in the alternative, file a joint status report as explained above by **October 11, 2024**.

The executed subpoena will be transmitted to counsel separately from this order.

ALEX
CHINTELLA

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Alex M. Chintella
Administrative Law Judge